

Question 1 (20 marks total)

Netflix has transformed from a DVD rental service into one of the world's largest streaming platforms. However, it now faces intense competition from Disney+, Amazon Prime Video, Apple TV+, and HBO Max.

Part A (5 marks)

Using Porter's Five Forces framework, analyse the competitive environment Netflix currently operates in. Identify the two most significant forces and justify your choices.

Part B (5 marks)

Evaluate Netflix's current competitive strategy. Is it a cost leadership, differentiation, or focus strategy? Use specific evidence from Netflix's business model to support your argument.

Part C (5 marks)

Netflix has been losing subscribers in some markets while investing heavily in original content. Critically assess whether this investment strategy is sustainable in the long term.

Part D (5 marks)

Recommend two strategic actions Netflix should take over the next three years to maintain its competitive position. Your recommendations must be specific, justified, and grounded in strategic theory.

STUDENT RESPONSE – Business Strategy Essay

Part A

Porter's Five Forces is a framework used to analyse competition in an industry. The five forces are competitive rivalry, threat of new entrants, threat of substitutes, bargaining power of buyers, and bargaining power of suppliers.

For Netflix, I think the two most important forces are competitive rivalry and the threat of new entrants. Competitive rivalry is very high because there are many streaming services like Disney+ and Amazon Prime competing for the same customers. The threat of new entrants is also significant because technology companies like Apple have large amounts of capital and can enter the market easily, as Apple TV+ demonstrated.

Part B

Netflix uses a differentiation strategy. It differentiates itself through its large library of original content such as Stranger Things, The Crown, and Wednesday. These shows are exclusive to Netflix and cannot be watched anywhere else, which gives customers a reason to subscribe specifically to Netflix rather than a competitor.

Netflix also differentiates through its recommendation algorithm, which personalises the viewing experience for each user. This makes the platform more sticky and reduces churn.

Part C

Netflix has been spending billions of dollars on original content every year. In 2022 it spent around \$17 billion on content. This is a large amount but it seems necessary because without exclusive content, there is little reason for customers to choose Netflix over its competitors.

However there are concerns about sustainability. Netflix lost subscribers in early 2022 for the first time in a decade. This suggests that spending more on content does not automatically lead to subscriber growth. Also, taking on debt to fund content could be risky if interest rates rise.

Overall I think the strategy is somewhat sustainable but Netflix needs to be more selective about which content it invests in rather than producing a large volume of average shows.

Part D

My first recommendation is that Netflix should expand more aggressively into emerging markets like India and Southeast Asia where streaming penetration is still low. These markets represent significant growth opportunities and competitors have less established positions there.

My second recommendation is that Netflix should consider introducing a cheaper ad-supported tier to attract price-sensitive customers who have cancelled due to price increases. This would also provide an additional revenue stream from advertising.